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Solution

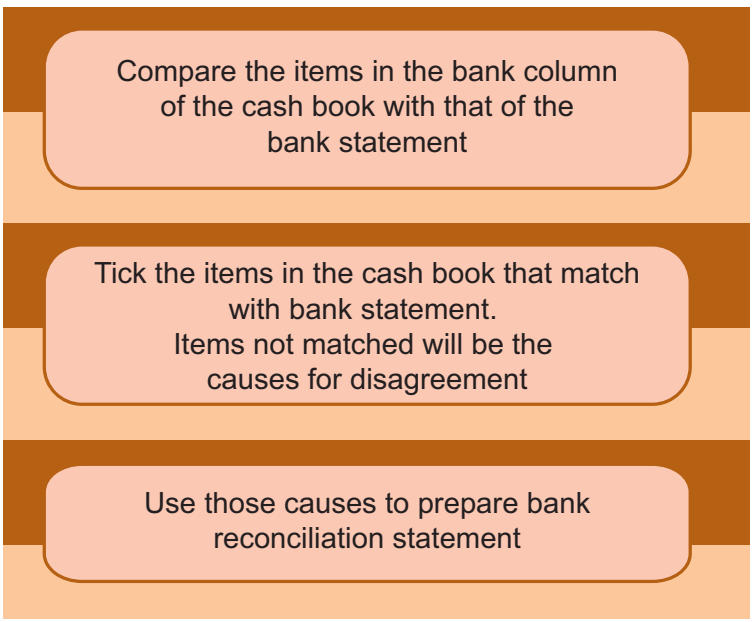
Bank reconciliation statement of Sudha and Company as on 31st December, 2017

Particulars	Amount `	Amount `
Overdraft as per bank statement (debit balance)		10,000
Add:		
Cheque issued recorded twice in cash book	200	
Direct cash deposit not entered in cash book	2,000	
Unpresented cheque	700	2,900
		12,900
Less:		
Cheque deposited but not credited by bank	15,000	
Interest on term loan not entered in cash book	500	
Cheque issued amount entered lesser in cash book (550-505)	45	
Cash deposit recorded lesser in bank statement (2,598-2,589)	9	
Interest on overdraft not entered in cash book	600	16,154
Favourable balance as per cash book*		–3,254

* ***Note:*** Since the balance obtained is negative, it is favourable balance.

When an extract of cash book and bank statement is given

When an extract of the cash book and bank statement is given, the following points are to be remembered:



Remember, the starting balance in the bank reconciliation statement can be either cash book balance or balance as per bank statement.